

Table A: Personal allowances and deductions

Year of assessment	2019/20	2020/21
Personal allowances	HK\$	HK\$
Basic	132,000	132,000
Married person's	264,000	264,000
Single parent	132,000	132,000
Child		
1 st to 9 th child (each)	120,000	120,000
Additional allowance in the year of birth (each)	120,000	120,000
Dependent parent/ grandparent (aged 60 or above or is eligible to claim an allowance under the Government's Disability Allowance Scheme)		
Basic	50,000	50,000
Additional (for dependant residing with taxpayer continuously throughout the whole year)	50,000	50,000
Dependent parent/ grandparent (aged 55 – 59)		
Basic	25,000	25,000
Additional (for dependant residing with taxpayer continuously throughout the whole year)	25,000	25,000
Dependent brother/ sister	37,500	37,500
Personal disability	75,000	75,000
Disabled dependant	75,000	75,000
Deductions/ Concessionary deductions	HK\$	HK\$
Self-education expenses	100,000	100,000
Home loan interest	100,000	100,000
Elderly residential care expenses	100,000	100,000
Contributions to recognised retirement schemes	18,000	18,000
Qualifying premiums paid under voluntary health insurance scheme policy	8,000	8,000
Qualifying annuity premiums & tax deductible MPF voluntary contributions	60,000	60,000
Approved charitable donations	35%	35%
Depreciation allowances (For all years of assessment in this paper)		
Plant and machinery: Initial allowance ("I.A.")	60%	
Annual allowance ("A.A.")	Given in question	
Industrial building: I.A.	20%	
A.A.	4%	
Commercial building: A.A.	4%	

Table B: Tax rates

Year of assessment			
2019/20*		2020/21**	
Tax rates	%	Tax rates	%
Standard	15.0	Standard	15.0
Progressive		Progressive	
HK\$1 – HK\$50,000	2.0	HK\$1 – HK\$50,000	2.0
HK\$50,001 – HK\$100,000	6.0	HK\$50,001 – HK\$100,000	6.0
HK\$100,001 – HK\$150,000	10.0	HK\$100,001 – HK\$150,000	10.0
HK\$150,001 – HK\$200,000	14.0	HK\$150,001 – HK\$200,000	14.0
Above HK\$200,000	17.0	Above HK\$200,000	17.0
Two-tiered profits tax rates		Two-tiered profits tax rates	
First HK\$2 million assessable profits		First HK\$2 million assessable profits	
Unincorporated businesses	7.5	Unincorporated businesses	7.5
Corporations	8.25	Corporations	8.25
Over HK\$2 million assessable profits		Over HK\$2 million assessable profits	
Unincorporated businesses	15.0	Unincorporated businesses	15.0
Corporations	16.5	Corporations	16.5

*100% of the final tax payable under profits tax, salaries tax and tax under personal assessment would be waived, subject to a ceiling of HK\$20,000 per case.

**100% of the final tax payable under profits tax, salaries tax and tax under personal assessment would be waived, subject to a ceiling of HK\$10,000 per case.

Table C: Stamp duty rates

Conveyance and Agreement for sale		
Ad Valorem Duty		
(marginal reliefs ignored)	Scale 1	Scale 2
Not exceeding HK\$2,000,000	1.5%	HK\$100
HK\$2,000,001 to HK\$3,000,000	3%	1.5%
HK\$3,000,001 to HK\$4,000,000	4.5%	2.25%
HK\$4,000,001 to HK\$6,000,000	6%	3%
HK\$6,000,001 to HK\$20,000,000	7.5%	3.75%
Exceeding HK\$20,000,000	8.5%	4.25%
From 5 November 2016		
For residential property	15%	(unless specifically exempted or provided otherwise)
Special Stamp Duty		
Holding period		
Not exceeding 6 months		20%
More than 6 months but equal to or less than 12 months		15%
More than 12 months but equal to or less than 36 months		10%
Buyer's Stamp Duty		15%
Lease		
Rent only:		
Not exceeding 1 year		0.25%
Not exceeding 3 years		0.5%
Exceeding 3 years		1%
Premium and rent:		
Premium part		4.25%
Rent part		same as rent only lease
Hong Kong Stock Transfer		
Contract notes		0.2%
Instrument of transfer		HK\$5

Table D: Abbreviation

CIR	Commissioner of Inland Revenue
DIPN	Departmental Interpretation and Practice Notes
IRD	Inland Revenue Department
IRO	Inland Revenue Ordinance

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 80% of the total marks for this examination.

Question 1 (26 marks – approximately 48 minutes)

Square Limited, Bob and David are partners of SBD Company ("the partnership") sharing profits and losses at a ratio of 2:1:1. The partnership carries on business in Hong Kong. The partnership prepares its accounts to 31 March each year. All the partners do not have any connected businesses in Hong Kong. Its profit and loss account for the year ended 31 March 2021 is as follows:

	HK\$	HK\$
Gross trading profit		6,500,000
Profit on sale of fixed assets		50,000
Interest income (Note 1)		<u>80,000</u>
		6,630,000
Less: Accountancy fees (Note 2)	160,000	
Rent and rates (Note 3)	600,000	
Salaries and allowances (Note 4)	3,990,000	
Contributions to MPF schemes (Note 5)	641,000	
Interest (Note 6)	100,000	
Telephone, water and electricity	180,000	
Bad debts (Note 7)	280,000	
Profits tax paid (Note 8)	125,000	
Advertisement	190,000	
Discounts allowed (Note 9)	40,000	
Insurance (Note 10)	111,000	
Legal fees (Note 11)	35,000	
Depreciation	72,000	
Sundry expenses (all allowable)	<u>370,000</u>	<u>(6,894,000)</u>
Loss for the year		<u>(264,000)</u>

Notes:

- (1) The interest was received from the partnership's funds deposited with Bank of East Asia.
- (2) For preparation and filing of tax returns for the partnership 60,000
- For handling tax appeals against the partnership's 2018/19 profits tax assessment 100,000
160,000
- (3) Rent for office premises* 576,000
Rates for office premises 24,000
600,000

*David is the owner of the office premises and he had declared the rental income in his individual tax return.

(4)	Bob	600,000
	Susan (Bob's wife)	240,000
	David	480,000
	Kent (David's son)	360,000
	Other employees	<u>2,310,000</u>
		<u>3,990,000</u>
(5)	Special contributions to MPF schemes	400,000
	Annual contributions in respect of:	
	Bob	18,000
	Susan	18,000
	David	18,000
	Kent (20% on remuneration)	72,000
	Other employees (5% on remuneration)	<u>115,000</u>
		<u>641,000</u>
(6)	Interest on loan from Gold Limited.** The loan was used for the partnership's daily operation and there was no security provided.	60,000
	Interest paid to Hong Kong Bank in respect of the banking facilities used for the partnership's daily operation. The facilities were secured by the personal guarantee of Bob and David.	<u>40,000</u>
		<u>100,000</u>
	**Bob is the director of Gold Limited. Gold Limited is incorporated and carrying on business in Hong Kong.	
(7)	Trade debts written off	200,000
	Loan to ex-employee written off	50,000
	Increase in general provision of bad debts based on 5% on debtors	<u>30,000</u>
		<u>280,000</u>
(8)	For final tax of year of assessment 2019/20	40,000
	For provisional tax of year of assessment 2020/21	80,000
	Penalty for late filing of tax returns	<u>5,000</u>
		<u>125,000</u>
(9)	Discounts allowed to customers for early settlement of trade debts.	
(10)	Insurance premium on fire policy of office premises	37,200
	Insurance premium on labour policy for employees	13,800
	Insurance premium on Bob's life policy	32,000
	Insurance premium on David's life policy	<u>28,000</u>
		<u>111,000</u>
(11)	Collection of trade debts	10,000
	Collection of loan to ex-employee	5,000
	Advice on incorporating the partnership	<u>20,000</u>
		<u>35,000</u>

Other information:

- (12) The tax written down values of plant and machinery brought forward from the year of assessment 2019/20 are as follows:

20% pool: HK\$38,000

30% pool: HK\$4,000

- (a) On 1 September 2020, the partnership purchased an environment-friendly vehicle (A.A.: 30%) for HK\$500,000.
- (b) On 15 September 2020, the partnership sold its motor vehicle (A.A.: 30%) for HK\$6,000 (original cost: HK\$380,000).
- (13) Losses brought forward from the year of assessment 2019/20 are:
- Bob (HK\$13,000)
David (HK\$10,000)
- (14) No partner elected for personal assessment for the year of assessment 2020/21.

Required:

- (a) **Compute the amount of depreciation allowances of plant and machinery available to SBD Company for the year of assessment 2020/21.**
(2 marks)
- (b) **Compute the profits tax liability of SBD Company for the year of assessment 2020/21. Ignore provisional profits tax.**
(18 marks)
- (c) **Explain the profits tax treatment in respect of the following items:**
- (i) **Interest paid to Gold Limited (Note 6); and**
(3 marks)
- (ii) **Loan to ex-employee written off (Note 7).**
(3 marks)

Question 2 (18 marks – approximately 32 minutes)

Kate is employed as an air hostess by a Hong Kong airline company in Hong Kong. You have been supplied with the following information for the years of assessment 2018/19, 2019/20 and 2020/21:

Year of assessment	No. of days present in Hong Kong
2018/19	58
2019/20	55
2020/21	220

You have also been supplied with the following information regarding Kate's employment for the year of assessment 2020/21:

- (1) Salary: HK\$480,000
- (2) Overseas allowance: HK\$40,000. The allowance was given to her when she was required to stay overseas.
- (3) Kate rented a flat as her residence at a monthly rent of HK\$25,000. Her employer refunded HK\$22,000 per month to her, but deducted HK\$2,000 per month from her salary as rent paid to the employer.
- (4) On 1 August 2020, she paid HK\$3,000 to purchase two air-tickets from her employer for herself and her son for a holiday trip to Germany. The market price of the air-tickets was HK\$30,000 each.
- (5) On 1 May 2020, Kate was granted an unconditional option to purchase 10,000 shares in her employer's parent company at HK\$5 each within two years. She paid HK\$5,000 for the option. On 15 September 2020, she exercised the option. The shares are still in her hand on 31 March 2021. The market values per share were as follows:

1 May 2020	HK\$25
15 September 2020	HK\$22
31 March 2021	HK\$26

Other information:

- (6) Kate contributed HK\$18,000 to an MPF scheme.
- (7) Kate and her husband, Simon, made approved charitable donations of HK\$40,000 and HK\$10,000 respectively.
- (8) Simon is working in Germany during the year. His employment income is not chargeable to Hong Kong salaries tax.
- (9) Kate and Simon have a son aged 19 who is studying in Hong Kong.

- (10) On 1 April 2020, Kate as the sole policy holder purchased a Qualifying Deferred Annuity Policy and paid qualifying annuity premiums of HK\$40,000 and HK\$20,000 on 1 April 2020 and 1 October 2020 respectively.

Required:

- (a) Analyse, with reference to the relevant provisions under the IRO, whether Kate is chargeable to salaries tax for the years of assessment 2018/19, 2019/20 and 2020/21. (6 marks)
- (b) Assuming Kate is chargeable to salaries tax for the year of assessment 2020/21, calculate:
- (i) the share option gain chargeable to salaries tax for the year; and (3 marks)
- (ii) her salaries tax liability for the year. Ignore provisional salaries tax. (9 marks)

Question 3 (9 marks – approximately 16 minutes)

On 3 June 2020, Tony received a notice of estimated profits tax assessment for the year of assessment 2018/19 dated 1 June 2020. He told you that he was busy with his business and had failed to file the 2018/19 individual tax return. He said that the estimated assessment was excessive and his business was suffering losses. He wanted to dispute the assessment and he had no money to pay the tax demanded.

Assume today is 10 June 2020. Tony approaches you for advice.

Required:

- (a) Describe the requirements of a valid objection against an assessment as provided under the IRO. (6 marks)
- (b) Determine the deadline if Tony wants to lodge an objection against the estimated assessment. (1 mark)
- (c) List out the recovery actions (other than the imposition of surcharge) that can be taken by the CIR to recover the tax in default from Tony as provided under the IRO. (2 marks)

Question 4 (9 marks – approximately 16 minutes)

Raymond and Judy are husband and wife and are ordinarily residents in Hong Kong. They own a residential flat in North Point (the flat) with ownership ratio of 2:1. The flat was let out at a monthly rent of HK\$28,000. Rates of HK\$2,000 per quarter were payable by the tenant. They purchased the flat by means of a mortgage loan from Hang Seng Bank in Hong Kong. During the year ended 31 March 2021, they paid mortgage loan interest of HK\$57,000. You have also been supplied with the following information regarding Raymond's income and expenses for the year ended 31 March 2021:

- (1) Raymond is the director/shareholder of Spring Limited, a company incorporated and carries on business in Hong Kong. He received the following income from Spring Limited:

	HK\$
Director's remuneration	1,500,000
Dividends	420,000
Interest on loan to Spring Limited	80,000

- (2) Net assessable profit from his sole-proprietorship business in Hong Kong: HK\$299,000
- (3) Share of business loss from a partnership business in Hong Kong: (HK\$400,000)

Expenses:

- (4) Mortgage loan interest paid of HK\$189,000 to Hong Kong Bank in respect of his solely-owned dwelling.
- (5) He had made total cash donations of HK\$500,000 to approved charitable organisations, out of which HK\$161,000 had been allowed under his sole-proprietorship profits tax assessment.
- (6) Contributions to an MPF scheme of HK\$18,000.

Other information:

- (7) Judy is not working during the year.
- (8) Judy made cash donations of HK\$300,000 to approved charitable organisations.
- (9) Raymond and Judy jointly elected for personal assessment for the year of assessment 2020/21.

Required:

- (a) **Compute the respective amounts of net assessable value of the flat attributable to Raymond and Judy for the year of assessment 2020/21.**
(3 marks)
- (b) **Calculate the reduced total income (before personal allowances) in respect of Raymond and Judy under personal assessment for the year of assessment 2020/21.**
(6 marks)

Question 5 (9 marks – approximately 16 minutes)

Circle Limited ("the Company") is carrying on business in Hong Kong. It prepares its accounts to 31 December each year. On 2 January 2020, the Company owned two properties as follows:

	Nature of properties	Cost of construction
(1)	Office premises	HK\$6,000,000
(2)	Director's quarters	HK\$4,000,000

During the year ended 31 December 2020, the Company incurred the following expenditure on the respective properties:

(A)	Office premises	(i)	Renovation expenditure	HK\$800,000
		(ii)	Cost of converting the showroom to retail shop	HK\$1,200,000
		(iii)	Solar photovoltaic installations*	HK\$18,000,000
(B)	Director's quarters	(i)	Renovation expenditure	HK\$500,000
		(ii)	Repairs of kitchen	HK\$10,000

*The installations were used to generate electricity for the Company's usage and were environmental protection installations. The Company paid HK\$10,000,000 and HK\$8,000,000 on 15 January 2020 and 30 November 2020 respectively. The installations were put into use in December 2020.

Required:

Compute the total amount of deductions available to Circle Limited for the year of assessment 2020/21.

(9 marks)

Question 6 (9 marks – approximately 16 minutes)

Tom is a Hong Kong permanent resident. He owns all the issued shares in Upper Limited, Middle Limited and Low Limited. Upper Limited, Middle Limited and Low Limited are companies incorporated in Hong Kong and the shareholders registers are kept in Hong Kong.

Upper Limited and Middle Limited beneficially solely owned Property X and Property Y respectively. Property X is a residential property in North Point and Property Y is an office in Central.

On 1 April 2020, Tom sold to an unrelated individual, Kevin, all his shares in Upper Limited for a consideration of HK\$10 million. As part of the agreement, Tom would assign to Kevin the shareholder's loan of HK\$2 million due by the Company. Kevin is a Hong Kong permanent resident and did not own any residential property in Hong Kong.

On 15 September 2020, Middle Limited leased to Low Limited its Property Y for a period of four years starting from 1 October 2020 under the following terms:

- (a) Lump sum premium: HK\$300,000 payable on 1 September 2020
- (b) Monthly rent: HK\$20,000 for the period from 1 October 2020 – 30 September 2022
HK\$22,000 for the period from 1 October 2022 – 30 September 2024

All the relevant documents of the above transactions are executed in Hong Kong.

Required:

Identify what kind of documents have to be stamped in respect of the following transactions as required under the Stamp Duty Ordinance, and compute the respective amounts of stamp duty payable, if any, on:

- (a) **Sale of shares in Upper Limited by Tom to Kevin.** (6 marks)
- (b) **Lease of Property Y by Middle Limited to Low Limited.** (3 marks)

* * * END OF EXAMINATION PAPER * * *